UBER TECHNOLOGIES EQUITY RESEARCH

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STANCE	REFERENCE	BASE FAIR VALUE	BASE RETURN	BEAR / BULL
WATCHLIST	$67.62	$77.02	+13.9%	$42.20 / $130.15

Investment conclusion

I would keep Uber on the watchlist. The base-case value of $77.02 per share offers 13.9% upside from $67.62, below my 25% margin-of-safety requirement. The model uses a 10.0% WACC and 2.75% terminal growth. Valuation depends heavily on terminal assumptions and the pending Delivery Hero deal. Rating: WATCHLIST / neutral. Fair value is not a 12-month price target. [1-4]

Investment thesis

- **Network economics.** 2025 gross bookings were $193.5B (+19%) and GAAP operating profit was $5.6B. Q2 2026 trips grew 18%, bookings 24%, and adjusted EBITDA 33%. Higher trip density could lower costs, although scale alone does not guarantee higher returns. [1-3]
- **Revenue presentation.** Q2 2026 bookings rose 24% and revenue 12%. UK business-model changes reduced recognized Mobility revenue by about $1.1B in the quarter. I track bookings and GAAP revenue/bookings ratios separately. [2]
- **Autonomous vehicles.** Partnerships, including Zoox, could bring more fleets onto Uber. Vertically integrated robotaxi operators could also bypass its dispatch network, and AV investment could raise capital requirements. [7-8]

Reported financial data

$ billions, except %	2023A	2024A	2025A	H1 2026A
Gross bookings	137.9	162.8	193.5	111.7
GAAP revenue	37.3	44.0	52.0	27.4
GAAP operating income	1.1	2.8	5.6	3.8
Reported FCF	3.36	6.90	9.76	5.08

Sources: 2025 SEC 10-K, 2026 Q2 10-Q, and earnings statements. H1 figures cover six months. Company-reported FCF differs from unlevered DCF cash flow. Tax valuation-allowance releases boosted 2024-2025 GAAP net income and should not be extrapolated. [1-3]

DCF assumptions and scenarios

DCF variable	Bear	Base	Bull
FY2026 gross bookings growth	16%	19%	22%
FY2030 gross bookings growth	7%	10%	13%
FY2030 EBIT margin	14.0%	17.25%	20.5%
WACC	11.0%	10.0%	9.0%
Terminal cash-flow growth	2.50%	2.75%	3.00%
Illustrative deal net-NPV overlay	−$5.0B	$0	+$5.0B
Intrinsic value / share	$42.20	$77.02	$130.15
Upside / downside vs $67.62	−37.6%	+13.9%	+92.5%

I calculate unlevered cash flow as projected GAAP operating income × (1 - 25% normalized tax), plus D&A, less capex and incremental working capital. Forecasts run through FY2030. Only 25% of FY2026 cash flow is counted from October 21, 2026, using simplified year-end discounting and a perpetual-growth terminal value. The equity bridge includes June 30 debt, unrestricted cash, financial/equity-method investment carrying values, and a 2.5% share dilution cushion. The workbook contains the linked calculations.

Base estimates are FY2026 bookings of $230.2B and reported revenue of $57.8B, followed by FY2030 bookings of $375.1B, revenue of $95.5B, and EBIT of $16.5B. These are my forecasts, not company guidance. The $122.4B present value of terminal cash flow is about 78.5% of standalone enterprise value, making WACC and terminal growth particularly important.

Trading comparables

Company	Close Oct 21	EV / FY2025 adj. EBITDA	EV / FY2025 revenue
Uber (UBER)	$67.62	15.2×	2.55×
Lyft (LYFT)	$16.79	10.5×	0.88×
DoorDash (DASH)	$184.45	27.5×	5.57×

The comparison combines October 21 share prices and June 30 balance sheets with FY2025 reported revenue and non-GAAP EBITDA. Definitions, growth, legal regimes, and business mix differ. Uber EV excludes separately recognized financial equity assets. The spread in multiples alone does not establish undervaluation. [1, 2, 9-13]

Delivery Hero acquisition assumptions

On July 16, 2026, Uber announced an all-cash offer of €41.50 per Delivery Hero share, implying $14.8B of equity value for 100%, or about $13.7B after prior stake purchases. The August 27 offer document set an acceptance window through November 5, 2026. Management targeted second-half 2027 closing, subject to approvals, using cash and new debt. [4-5]

I exclude acquired operating cash flow because the deal had not closed and a verified merger model was unavailable. The base M&A overlay is $0. The ±$5B cases are hypothetical net-value sensitivities, not synergy estimates. Existing Delivery Hero ownership is already in balance-sheet investments, so a post-close model must remeasure or eliminate that stake to avoid double counting.

Risks and warning signs

Risk	What I would track	Warning sign
Autonomous vehicle bypass	Partner trip share, fleet investment and autonomous economics	Competitors bypass Uber at scale
Acquisition and leverage	DH regulatory status, financing and post-close returns	More debt without durable cash yield
Margin sustainability	EBIT as % revenue and bookings; insurance costs	Trips grow but unit returns deteriorate
Accounting / reported FCF	UK reclassifications; SBC, reserves and capex	Reported FCF fails to become economic owner earnings
Valuation duration	WACC / terminal-growth sensitivity	Small discount-rate change erases upside

Upcoming events and further research

- **November 4, 2026.** Q3 earnings. Compare bookings with company guidance of $58.25B-$60.25B and adjusted EBITDA with $2.86B-$2.96B guidance. [3, 6]
- **November 5, 2026.** Originally announced Delivery Hero offer acceptance deadline. Check the acceptance threshold, financing, and antitrust status. [5]
- **Acquisition model.** Add verified deal terms, target cash flows, acquired operations, and new debt once available. Avoid counting the previously owned stake twice.
- **Valuation update.** Refresh share count, investment fair value, WACC, and prices after Q3 results.

Methodology

Historical inputs and company statements are sourced below. Scenario drivers, 25% normalized tax, 0.7% capex/revenue, the 0.8% incremental working-capital convention, discount rates, dilution, and M&A NPV overlays are my assumptions. Forecasts do not use consensus estimates. This educational analysis is dated October 2026 and is not a standing or personalized investment recommendation.

Sources

[1] Uber 2025 SEC 10-K - https://www.sec.gov/Archives/edgar/data/1543151/000154315126000015/uber-20251231.htm

[2] Uber 2026 Q2 SEC 10-Q - https://www.sec.gov/Archives/edgar/data/1543151/000154315126000032/uber-20260630.htm

[3] Uber 2026 Q2 results - https://investor.uber.com/news-events/news/press-release-details/2026/Uber-Announces-Results-for-Second-Quarter-2026/default.aspx

[4] Uber Delivery Hero offer - https://investor.uber.com/news-events/news/press-release-details/2026/Uber-Announces-Acquisition-Offer-for-Delivery-Hero/default.aspx

[5] Uber offer document update - https://investor.uber.com/news-events/news/press-release-details/2026/Uber-Publishes-Offer-Document-for-its-Takeover-Offer-for-Delivery-Hero/default.aspx

[6] Uber Nov 4 earnings schedule - https://investor.uber.com/news-events/news/press-release-details/2026/Uber-Announces-Date-of-Third-Quarter-2026-Results-Conference-Call/default.aspx

[7] Uber-Zoox AV partnership - https://investor.uber.com/news-events/news/press-release-details/2026/Zoox-and-Uber-Announce-Strategic-Partnership/default.aspx

[8] Axios September 2026 AV report - https://www.axios.com/2026/09/23/uber-robotaxi-av-strategy-dara-khosrowshahi

[9] Matched market closes - https://www.statmuse.com/money/ask/uber-lyft-dash-returns-this-year

[10] Lyft 2025 10-K - https://www.sec.gov/Archives/edgar/data/1759509/000162828026006960/lyft-20251231.htm

[11] Lyft 2026 Q2 10-Q - https://www.sec.gov/Archives/edgar/data/1759509/000162828026054499/lyft-20260630.htm

[12] DoorDash FY2025 results - https://www.sec.gov/Archives/edgar/data/1792789/000179278926000012/prodq4dashex991-pressrelea.htm

[13] DoorDash 2026 Q2 10-Q - https://www.sec.gov/Archives/edgar/data/1792789/000179278926000050/dash-20260630.htm